

China Telecom Sector

What we learned from China telcos' 1Q26 results

- **We summarize key takeaways after China telecom operators' 1Q26 results.**

Overall, CM/CT/CU's service revenue was -1%/-2%/-1% YoY in 1Q26, with net profit -4%/-17%/-18%, respectively, due mainly to the [impact from the VAT adjustment](#). CM's profit decline is in line with our estimate, while CT/CU are below our estimates (JPMe -7% YoY each for 2026E profit), due to higher personnel costs. Cash flow is a bright spot: CM's 1Q26 FCF of Rmb41bn is substantially stronger than the Rmb5bn outflow in 1Q25, while CT's 1Q26 FCF of Rmb8.4bn is much stronger than Rmb3.4bn outflow in 1Q25. This demonstrates China telecom operators' focus on growth quality and should support sustainable dividend payouts, in our view. On the industrial internet side, China Telecom Cloud revenue was +7% YoY, and China Unicom compute power revenue was +8% YoY in 1Q26.

- **Our order of preference among H-share names is CM-H > CT-H > CU-H:**

We note that CM-H/CT-H's share prices have been resilient post the 1Q26 results. We believe the key rationales are: CM-H (solid large-cap high yielder at 6% dividend yield on 2026E), CT-H (potentially due to strong sentiment on cloud/data center sector post DeepSeek V4 launch recently, which confirms the practical feasibility of domestic chips for frontier AI model inference. Please refer to the report on [China AI](#) from Olivia Xu. Our order of preference is now based mainly on affordability of dividend payout and cloud exposure. We prefer CM-H the most, as it has the mildest impact from VAT adjustment in 2026 (due to its substantially higher margin than peers), and its dividend yield of 6.2% in 2026E (on JPMe) is largest among the Big 3. While CT-H is the most expensive of the three (trades at 16x 2026E P/E if we assume similar profit YoY decline for full year 2026E as 1Q26), its positioning as a 'cloud play' among the big three telcos (25% of total service revenue in 2025, vs 12%/21% of CM-H/CU-H) makes it a potential beneficiary of the China domestic cloud thematic trade. We prefer CU-H least as it trades at a similar P/E as CM-H (12x 2026E if we assume similar profit YoY decline for full year 2026 as 1Q26) and the likelihood for higher dividend payout ratio in 2026E is low (due to profit impact from VAT).

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Companies Discussed in This Report (all prices in this report as of market close on 28 April 2026, unless otherwise indicated)

China Mobile - H(0941.HK/HK\$84.65/OW), China Telecom - H(0728.HK/HK\$5.17/OW), China Unicom - H(0762.HK/HK\$7.30/OW)

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China Telecom - H (0728.HK, 728 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 22, 2006. All share prices are as of market close on the previous business day.
Break in coverage Jan 10, 2025 - Aug 14, 2025.

Date	Rating	Price (HK\$)	Price Target (HK\$)
09-Aug-23	OW	3.93	4.7
09-Jan-24	OW	3.80	4.2
26-Jan-24	OW	4.00	5
05-Apr-24	OW	4.16	4.8
17-Jul-24	OW	4.97	5.7
28-Aug-24	OW	4.76	5.5
14-Aug-25	OW	6.23	7.5
22-Apr-26	OW	5.05	6

China Mobile - H (0941.HK, 941 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Break in coverage Jan 10, 2025 - Aug 14, 2025.

Date	Rating	Price (HK\$)	Price Target (HK\$)
09-Jan-24	OW	65.40	74.5
26-Jan-24	OW	67.65	83
05-Apr-24	OW	67.55	85
17-Jul-24	OW	76.80	95
28-Aug-24	OW	76.35	93
14-Aug-25	OW	88.80	110
22-Apr-26	OW	83.70	100

China Unicom - H (0762.HK, 762 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
25-Oct-23	N	5.27	5.5
09-Jan-24	N	4.77	5
26-Jan-24	OW	5.45	7.3
05-Apr-24	OW	5.70	6.9
17-Jul-24	OW	7.35	8.2
28-Aug-24	OW	6.76	7.7
14-Aug-25	OW	10.26	12
22-Apr-26	OW	7.40	9

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Break in coverage Jan 10, 2025 - Aug 14, 2025.

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